

increasing. NPAs in these two segments are nearing 10% and 13%, respectively. “These portfolios need to be stress-tested, and, if required, accelerated provisioning should be considered in FY26,” says another industry observer. The current outstanding in the two-wheeler segment is more than ₹5,000 crore, whereas the micro loans portfolio was at ₹30,000 crore in FY25.

In the corporate banking book, about 3% of the bank’s exposure is in the ‘BB’ and below rating categories. ‘BB’-rated instruments and those below fall into the non-investment or speculative grade, indicating high credit risk and a higher likelihood of default. “There is a real possibility of NPAs emerging from this bucket,” warns a rating analyst.

BUSINESS MODEL CHANGES

Kathpalia, who took over from Ramesh Sobti in March 2020 after an extensive succession process, had set a target of 60:40 retail-corporate loan mix. In fact, he stated that retail would grow faster than the corporate book, with the eventual aim of reaching 65:35. However, the current retail-corporate mix stands at 58:42. “Rebalancing towards granular, secured retail/SME lending and sectoral exposure caps could stabilise earnings. The RBI’s concerns on concentration risk (e.g., CLGS disclosures) underscore the need for a strategic pivot,” says Parakh of Bigul. The CLGS or the Climate-Linked Guidelines & Standards relate to banks’ exposure to coal, thermal, and other emission-related industries.

Despite a three-decade-long journey, the bank’s corporate loan



“The board is in the process of taking necessary steps to assess the roles and responsibilities and fixing staff accountability as per the extant laws and internal code of conduct”

SUNIL MEHTA

CHAIRMAN, INDUSIND BANK,
AT AN INVESTOR CALL IN MAY



“Given the recent governance lapses, undisclosed risks may persist. A new CEO should mandate independent stress tests to uncover potential asset quality issues”

ATUL PARAKH

CEO, BIGUL

portfolio remains concentrated with the domination of non-banking financial companies (NBFCs), real estate, gems & jewellery, steel, and power generation players. The mix hasn’t changed much over the years (See *The Business Model Risk*).

“The bank’s business model, especially its corporate banking, with heavy exposure to telecom and real estate, needs focused fixes, not a complete overhaul,” suggests Jadhav. Rating agency CRISIL has also highlighted the bank’s relatively high exposure to NBFCs, real estate developers, and the gems & jewellery segments, among others, while on the retail side, the bank has exposure to MFIs and the vehicle finance segment, which are inherently vulnerable to an economic downturn. (See *Loan Mix*)

Chairman Mehta has hinted that the bank will be selective in the corporate space. “Overexposure to cyclical sectors (e.g., real estate, NBFCs) heightens vulnerability to economic shocks. The loan book’s lack of diversification contradicts prudential risk management,” says Parakh. Under Kathpalia, the bank did talk about building a more granular, short-duration, and annuity-driven portfolio. In fact, the former CEO once said that future growth will be driven by building specialisation in segments such as supply chain finance and MNCs. But that is not reflected in the books.

With the launch of the home loan product, the bank has forayed into stable retail loans. This is a recent initiative, but it lacks scale. The bank will continue to pivot its rural distribution towards Bharat Banking. It bought Bharat Financial Inclusion (earlier SKS Microfinance) in July 2019, which